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MADE IN INDIA
Employees at work in the Foxconn mobile phone plant at Sriperumbudur, Tamil Nadu

smartphones. "India has a domestic market that will grow in the next 10-15 years, although the price points (for Apple products) are different. There is no other market that still has half a billion consumers who are yet to migrate to smartphones. Our cost structure is much lower. It is cheaper than China, and could be cheaper than Vietnam as well," says Singh.

A LARGE RETAIL MARKET

In CY2022, the shipment volumes of iPhones made in India grew 65 per cent year on year (YoY), while their value gained 162 per cent, according to a recent report by technology market research firm Counterpoint. This was on account of increasing premiumisation, coupled with the increasing exports of premium smartphones, especially from Apple. This has taken Apple's value share in handsets to 25 per cent in India in 2022, up from 12 per cent in 2021.

For the first time in the smartphone market, the share of the premium market handsets (higher than Rs 30,000 in value) went up in double digits by 11 per cent in 2022. "The trend of premiumisation has been increasing, and one of the reasons for that is Apple," says Prachir Singh, a senior research analyst at Counterpoint. "There are several financing options in the premium segment. So they are within the reach of the common man. Those who have been using a Rs 15,000 phone can have an iPhone with an EMI of Rs 2,000 or Rs 4,000."

Apple has always been an aspirational brand for the middle class. Malini Sharma, a student of film studies in Mumbai, bought an iPhone Pro Plus from Croma, an electronics retailer of the Tata Group. It cost her Rs 84,000, but the retailer provided a staggered payment over six months, and a cashback offer of Rs 4,000. "In terms of clarity of photos and videos, Apple has few rivals. As students, we can shoot short films as part of our graduation project on the iPhone and save money on renting cameras," she says.

Earlier, when Apple used to import its models, they attracted high customs duties, sometimes as much as 20 per cent. That made the devices expensive. Apple also did not believe in giving too many discounts. This changed from 2020 onwards, with the firm focusing on Diwali sales at large retailers. For instance, the iPhone SE 2020 was made available on Flipkart through an offer of Rs 30,000. This helped push its sales. Some experts say that the growth in the premium segment, while all other segments posted lower growth, showed a consumer trend towards luxury products, reflective of the country's growing income disparity, especially since the pandemic days.

India doubled its exports of smartphones to $11.1 billion (Rs 91,000 crore) in 2022-23 over the previous year's $5.48 billion (Rs 44,928 crore), says data from the India Cellular Electronics Association. Apple accounted for 45 per cent of smartphone exports from India. Meanwhile, exports by Chinese smartphone firms like Xiaomi (the makers of the Redmi handset brand) fell 26 per cent year-on-year in FY23. They accounted for only 1.35 per cent of exports. The world over, Apple sold products worth $394.33 billion in 2022, up 8 per cent from 2021, and had a net income of $99.8 billion in the year ending September 2022, compared to $94.68 billion in the previous year. The highest sales came from iPhones, where the company sold products worth $205.49 billion, a 7 per cent increase from 2021. Apple's other products are Mac laptops, iPads, AirPods, Apple TV and Apple Watch, among others.

However, in volume terms, shipments of made-in-India smartphones declined 3 per cent YoY in CY22, says Counterpoint. The major factor behind this decline was the softening of consumer demand due to macroeconomic headwinds, especially in the second half of the year. The shipments fell 19 per cent YoY in the last quarter due to local demand decline, particularly in the entry-tier and mid-tier segments.